

LESSONS LEARNED FROM

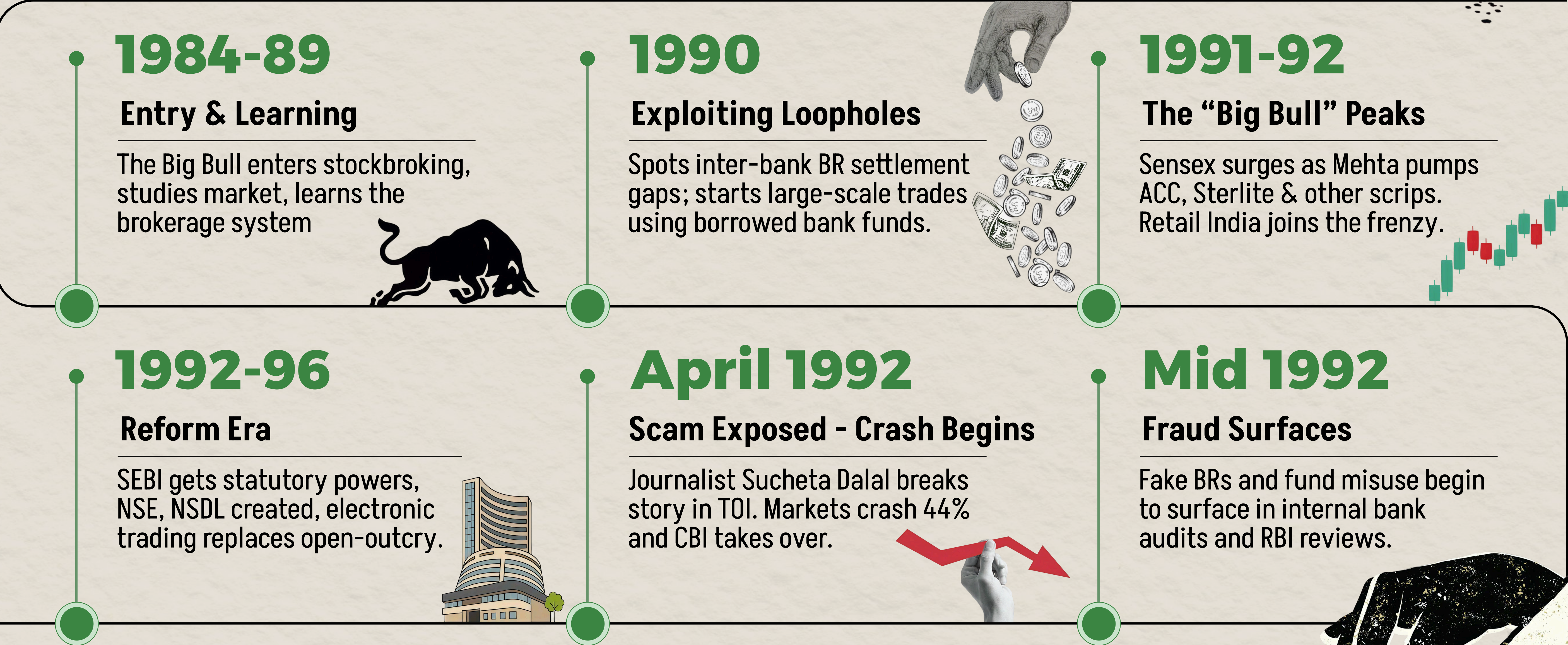
SCAM 1992

When the "Big Bull" crashed, the entire system was forced to modernise and India's capital markets were never the same again.

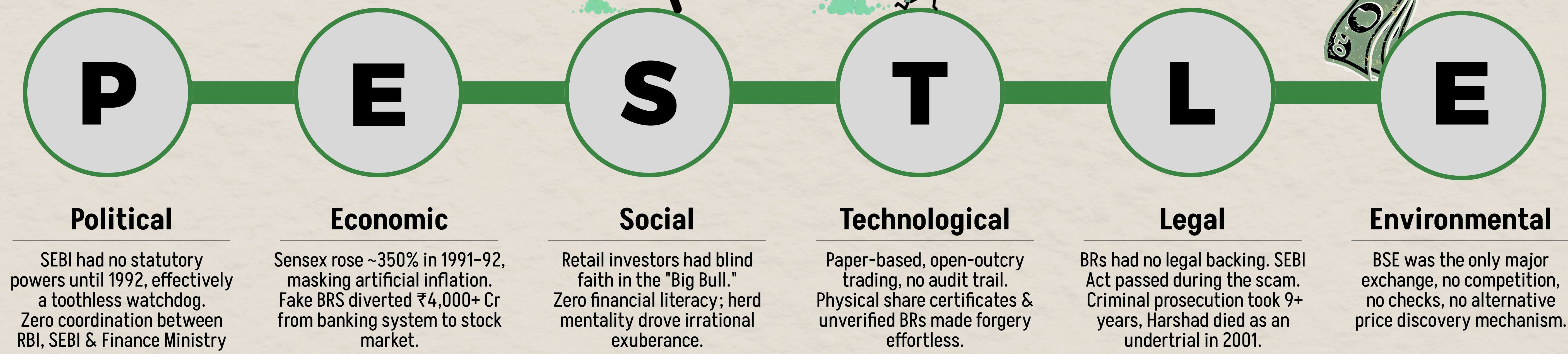
How Harshad Mehta Broke India's Financial System

Mehta exploited unverified Bank Receipts (BRs) and a 15-day manual clearing window to divert ₹4,000 Cr+ from nationalized banks into equities - exposing a structural failure in India's banking oversight, not merely a market manipulation.

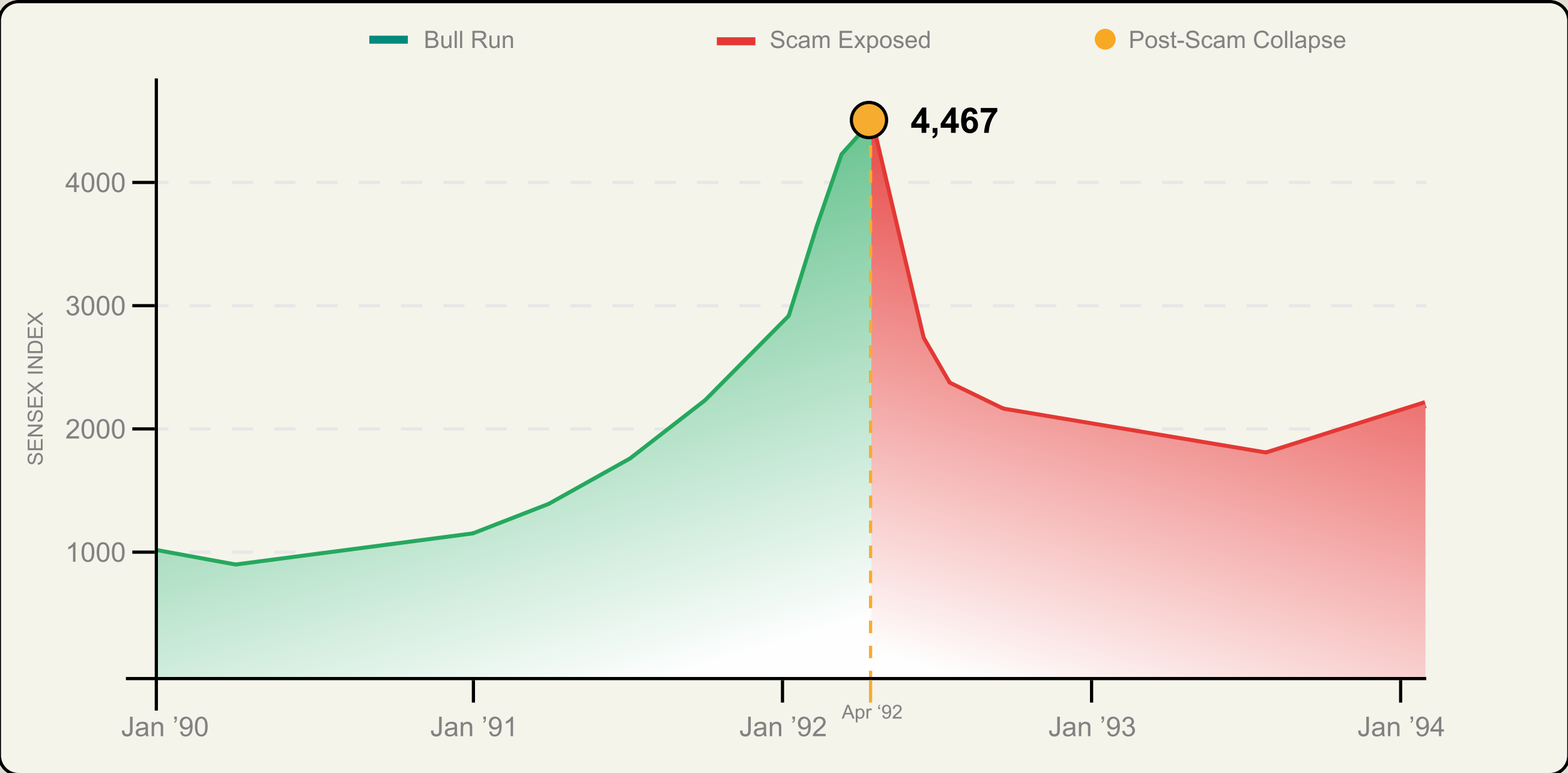
TIMELINE OF THE SCAM



SCAM: A PESTLE ANALYSIS



THE BUBBLE & THE CRASH



KEY LESSONS



REFORMS	Year	Reform	Impact
	1992	SEBI granted statutory powers	Regulatory
	1993	Securities Laws (Amendment) Act	Legal
	1994	NSE launched; electronic trading replaces open-outcry	Market Structure
	1996	NSDL created - eliminated physical share certificates	Systemic